Assessing a Country as a Market

Exam code: 9BS0

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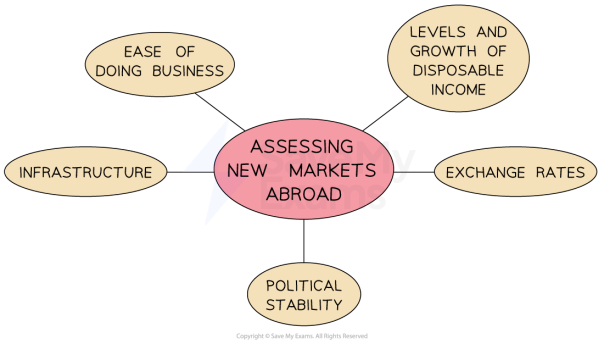
Updated on 8 September 2025

Factors to consider before entering new countries

- When businesses are considering new markets to enter, they have to consider the **attractiveness** of the market
- This will involve businesses carrying out extensive **market research** and using models such as the **Boston Matrix** and **PESTLE**

Assessing new markets abroad



Factors to consider before entering new countries include the ease of doing business and political stability

Infrastructure

- Infrastructure considers factors such as **roads, transportation and communication** (mobile coverage/internet)
  - Good infrastructure improves the production process and delivery of goods and services to the customer, which **reduces costs and increases sales**

Ease of doing business

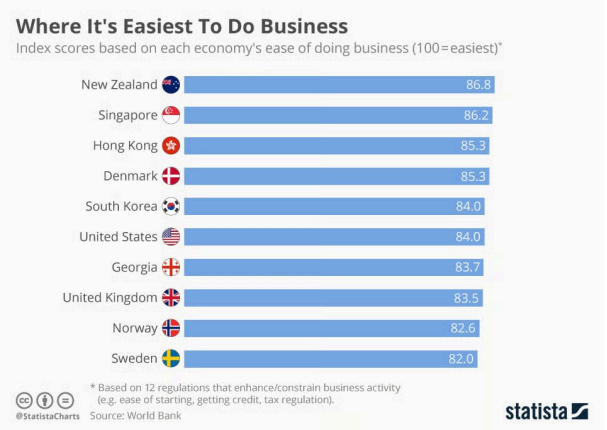
- **Rules and regulations involved in establishing a business in a particular market may be relatively simple or extraordinarily hard**
  - **Issues to consider include accessing credit, registering properties and enforcing contracts**

Help me understand

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- The World Economic Forum (WEF) has established a ranking of countries by the **ease of doing business**

Comparison of ease of doing business



A scoring system that rates how easy it is to conduct business activities in different countries (Source: World Economic Forum)

Levels of growth and disposable income

- **Disposable income is the income individuals have left after paying direct taxes (e.g. income tax) and other deductions (e.g. pension contributions)**
  - Selling products in a country with a higher disposable income is likely to lead to **more sales**
  - Selling in a country with a lower disposable income is likely to lead to **slower sales** growth

- Businesses should look at **trends in income levels** over time to see if there is potential growth in sales in the future

Exchange rates

- An **exchange rate** is the price of one currency in terms of another, e.g. £1 = $1.10
- Exchange rates can be subject to **extreme fluctuations** due to external factors
  - Businesses should look at the **historical trends of the currency** of the country

- Businesses moving to countries with **stronger currencies** can import raw materials and components for production at a lower price
  - Exports from this country will be more expensive to customers abroad

Political stability

- Businesses may be at risk of not gaining a **return on their investment** in a country with political instability
  - A country with political instability will be subject to corruption, a lack of law enforcement and higher levels of crime
  - There is more likely to be disruptions to trading

Examiner Tips and Tricks

In Paper 1, you may be given extracts A-D that will contain information regarding a particular market/country. You will be expected to assess if the business should expand and make a judgement regarding whether the business should expand its operations in the market. It is important that you use evidence from the extract and your own knowledge to support your arguments and consider in your conclusion what the most important factors are for the business.

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